FRC
KENYA

GUIDANCE NOTES ON ANTI-MONEY LAUNDERING, COUNTER FINANCING OF TERRORISM AND COUNTER PROLIFERATION FINANCING:

Identifying and Reporting of Suspicious Transaction or Activity for Trust and Company Service Providers in Kenya.

Issued by :
The Financial Reporting Centre
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The Financial Reporting Centre

Guidance Notes on Anti-Money Laundering, Counter Financing of Terrorism and Counter Proliferation Financing

December 2025

Disclaimer

These Guidelines are intended to assist Trust and Company Service Providers in Kenya to understand and comply with their AML/CFT/CPF obligations as set out in the following Acts and Regulations:

- The Proceeds of Crime and Anti-Money Laundering Act (POCAMLA), 2009;
- Trustees (Perpetual Succession) Act, Cap. 164
- Trustee Act, Cap. 167
- Certified Public Secretaries of Kenya Act, Cap. 534
- Companies Act, Cap. 486
- Prevention of Terrorism Act (POTA), 2012
- The Proceeds of Crime and Anti-Money Laundering Regulations, 2023;
- The Prevention of Terrorism (Implementation of the United Nations Security Council Resolutions on Suppression of Terrorism) Regulations, 2024;
- The Prevention of Terrorism (Implementation of the United Nations Security Council Resolutions on Prevention, Suppression and Disruption of Proliferation Financing) Regulations, 2023

These guidelines are for educational and awareness purposes only and do not constitute legal advice. The legal and regulatory framework governing anti-money laundering, combating the financing of terrorism and, countering proliferation financing is dynamic and subject to frequent amendment.

Its noteworthy that Acts and Regulations guiding TCSPs are superior/override this Guidance. Trust and Company Service Providers should therefore rely on the current laws, regulations, and directives issued by the Financial Reporting Centre (FRC), the Institute of Certified Secretaries and any other competent authority.

These Guidelines should be read together with the Proceeds of Crime and Anti–Money Laundering Act (POCAMLA) and the Prevention of Terrorism Act (POTA) and their subsidiary (accompanying) legislations.

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Table of Acronyms /Abbreviations

AML/CFT	-	Anti-money laundering and counter financing of terrorism
DNFBPs	-	Designated Non-Financial Businesses and Professions
FRC	-	Financial Reporting Centre
LSK	-	Law Society of Kenya
POCAMLA	-	The Proceeds of Crime and Anti-Money Laundering Act
POTA	-	Prevention of Terrorism Act
TCSPs	-	Trust and Company Service Providers
WMD	-	Weapons of Mass Destruction

1.0 Introduction

Money laundering, terrorism financing and proliferation financing, present major threats to Kenya's financial system, national security, and the integrity of professional services. These crimes increasingly involve cross-border transactions and the misuse of legitimate professional services. Therefore, Trust and Company Service Providers must implement strong measures to safeguard against abuse.

Kenya's Anti-Money Laundering, Counter-Financing of Terrorism and Combating of Proliferation Financing (AML/CFT/CPF) framework is anchored in POCAMLA, POTA and their subsequent regulations. These laws, together with FRC (Centre) guidelines, provide mechanisms for detecting, preventing, and disrupting money laundering, terrorism financing, and proliferation financing.

In Kenya, Trust and Company Service Providers are classified as Designated Non-Financial Businesses and Professions (DNFBPs) under Section 2 of POCAMLA. The AML/CFT framework applies to Trust and Company Service Providers who undertake activities listed under Section 48 (b) of POCAMLA. These activities may be exploited by criminals to conceal the origin, movement, or ownership of illicit funds and assets, and include:

i. **Acting as a formation agent of legal persons or legal arrangements.**
   This specified activity refers to services provided by certified secretaries in the formation and incorporation of a Legal Person or Legal Arrangement. This includes assisting with the preparation of and/or filing of incorporation and post incorporation documents with the Companies Registry on behalf of a client.

ii. **Acting as, or arranging for another person to act as, a director or secretary of a company, a partner of a partnership, or a similar position in relation to other legal persons.**
   This activity applies to certified secretaries if they provide services to a client whereby they act as a director of a company or provide corporate secretarial services to a company, whether incorporated, unincorporated, for profit or not for profit, or act as a partner of a partnership on behalf of a client. This also includes situations where certified secretaries

find other persons to act in the above positions, and/or prepare documentation for another person to act in the above positions.

iii. **Providing a registered office, business address or accommodation, correspondence or administrative address for a company, a partnership or any other legal person or arrangement.**

This activity refers to providing a physical address whereby mail, other correspondence and items intended for the Legal Person or Legal Arrangement will be received on behalf of the Legal Person or Arrangement, whether to be forwarded to the intended recipient or picked up.

iv. **Acting as, or arranging for another person to act as, trustee of an express trust.**

If you are acting in this capacity, you provide a service to clients where you agree to be the Trustee of an express trust, or if you find persons and prepare or file the necessary documentation for another person to perform this Trustee service for your clients.

v. **Acting as or arranging for another person to act as, a nominee shareholder/partner for another person.**

This activity applies to you if you provide this service for your clients who are legal persons or if you find persons and prepare or file the necessary documentation for another person to perform this service for your clients

Trust and Company Service Providers have obligations to apply preventative measures outlined in POCAMLA, POTA and subsequent regulations. Section 44 of POCAMLA and, Regulation 38 of POCAML-Regulations, 2023 obligates Trust and Company Service Providers to file suspicious reports. Therefore, the purpose of this guideline is to assist Trust and Company Service Providers who are engaged in the above mentioned activities on behalf of their clients, in detecting and reporting of suspicious activities and transactions to the Centre.

2.0 Money Laundering, Terrorism Financing and Proliferation Financing Offences

2.1 Money Laundering

Money laundering is the process through which criminals conceal or disguise the illicit origin of property or funds arising from criminal activity, and introduce them into the formal economy as if they were legitimate.

Money laundering is criminalized pursuant to Section 3 and 4 of POCAMLA. A person commits the offence of money laundering if they **know, or ought reasonably to have known**, that property constitutes the proceeds of crime.

POCAMLA describes money laundering to include the following acts:

1. Entering into an agreement, arrangement, or transaction with anyone involving a property that constitutes proceeds of crime, whether legally enforceable or not; or
2. Performing any act that: conceals or disguises its nature, source, location, movement, ownership, or interest; enables or assists any person to evade investigation, arrest, prosecution, or confiscation; or removes, transfers, or diminishes property derived directly or indirectly from an offence; or
3. Knowingly or attempting to transport, transfer, transmit or receive a monetary instrument or anything of value to another person, with intent to commit an offence.

2.1.1 Stages of Money Laundering

Money laundering commonly occurs in three stages:

(a) Placement

Illegal funds are introduced into the financial system. Examples include:

- Use of shell companies incorporated by TCSPs to hide entity or ownership.
- Use of shelf companies incorporated by TCSPs in an attempt to create the impression that the company is reputable and trading in ordinary course because it has been in existence.
- Creating complex corporate structures with nominee directors/ shareholders/layered ownership to mask beneficial ownership
- Creating complex trust structure to obscure beneficial ownership

(b) Layering

A complex series of transactions is used to obscure the audit trail and distance the funds from their criminal origin. Examples include:

- Creating complex trust structures to obscure beneficial ownership
- Using Nominee directors and shareholders to add additional layers
- Making inter-company transfers between TCSP formed entities
- Using multiple shell companies to move funds across different jurisdictions or within same jurisdiction

(c) Integration

Laundered funds re-enter the legitimate economy appearing clean and usable. Examples include:

- Use of TCSP created companies to purchase legitimate businesses
- Distributing legitimate profits or dividends from shell companies
- Using TCSP-Managed trusts to pass funds to beneficiaries
- Routing of funds as returns on investment made by TCSP established holding companies
- Use of Shell or shelf companies to purchase assets

According to the National ML Risk Assessment Report of 2021[1], the ML vulnerability for the certified secretaries was assessed as **Medium High**. Company secretaries carry out various activities such as: business registration/formation; registration maintenance i.e., filing the various returns with the regulatory bodies to maintain registration and compliance with the various laws; maintenance of statutory registers such as register of directors and members, register of beneficial owners; capitalisation/ reorganisation/merger and acquisitions; and company deregistration, that can be exploited during placement, layering and integration stages.

[1] The National Money Laundering and Terrorism Financing Risk Assessment Report, 2021

2.2 Terrorism Financing

Terrorism financing is the act of **providing funds or financial support**, directly or indirectly, using legitimate or illegitimate funds, to an individual, group, or organisation for the purpose of: committing, planning, or facilitating terrorist acts, or supporting terrorist operations or networks.

Prevention of Terrorism Act (POTA)

Under POTA, Terrorism Financing (TF) refers to the collection, provision, movement, or management of money, property, or services with the intention, knowledge, or reasonable belief that they will support terrorist acts, terrorist groups, or individuals involved in terrorism. This includes supplying funds or resources for carrying out or facilitating attacks, assisting terrorist organisations in any capacity, financing travel for terrorist purposes, providing logistical support such as documents, shelter, or communication tools, and dealing in assets owned or controlled by terrorist groups. It also covers possessing property or weapons for terrorist use, helping to conceal or retain terrorist property, harbouring individuals involved in terrorism, and supplying or offering weapons to terrorists. Engagement in any of these activities constitutes an offence and carries severe penalties, including lengthy imprisonment.

Trust and Company Service Providers may be unknowingly used to:

- Set up non-profit organizations or corporate structures used to transfer funds;
- Facilitate real estate or asset purchases used to store value;
- Manage trust accounts used for movement of funds;
- Conduct cross-border transactions that hide beneficiaries.

2.3 Proliferation Financing

Proliferation financing involves the provision of funds, services, or economic resources used for the development, acquisition, manufacture, transfer, or transportation of **Weapons of Mass destruction (WMDs)** or related materials.

Proliferation financing often relies on complex corporate structures, front companies and intermediaries, international trade transactions, falsified shipping documents, and movement of dual-use goods (items with legitimate and military application).

The legal sector may be exploited to establish companies or execute transactions that obscure the identity of sanctioned individuals or entities.

3.0 Suspicious Transaction/Activity Reporting Obligations

3.1 Obligation to report suspicious transaction or activity (Section 44 of POCAMLA, 2009 and Regulation 38 of POCAML-Regulations, 2023)

Trust and Company Service Providers must notify the Centre within two days upon forming suspicion on activities or transactions that may suggest money laundering, terrorism financing, proliferation financing or the proceeds of crime. They are required to provide enough information to explain the nature and basis of their suspicion and must include any supporting documents they possess.

Trust and Company Service Providers must conduct ongoing monitoring of all complex, unusual, large, suspicious transactions or such other transactions as may be specified by the regulations; whether completed or attempted and pay close attention to patterns with no clear economic or lawful purpose.

3.2 What constitutes a suspicious reportable activity

Unusual Activity or Transaction - Unusual activity or an unusual transaction can be any activity or transaction that deviates from the profile provided while on boarding the client. It should prompt the collection of information and facts to understand the bigger picture. The gathering and assessment of additional information should be used to determine whether there is a reasonable suspicion that the activity or transaction is linked to money laundering, terrorist financing, proliferation financing and/or other illegal activity or whether there is a reasonable explanation for it. Unusual activity or an unusual transaction should not automatically result in the filing of a suspicious report with the Centre.

Suspicious activity could refer to any incident, event, individual or activity that seems out of place or at odds with your client's usual activity. Where a suspicious activity occurs, a Suspicious Activity Report (SAR) should be filed with the Centre.

Suspicious transactions are transactions in which there are reasonable grounds to suspect that the client's funds, properties or assets involved are linked to the proceeds of crime. The funds, properties or assets could have been derived from an illegal activity or are intended to be used for an illegal activity. Where a suspicious transaction occurs, a Suspicious Transaction Report (STR) should be filed with the Centre.

Suspicious activity or transaction – A suspicious transaction or activity is when you suspect or have reasonable grounds to suspect that funds involved in the transaction or activity are the proceeds of crime, or are related to terrorism financing. Where a suspicious activity and transaction occur, a Suspicious Transaction Activity Report (STAR) should be filed with the Centre.

4.0 Detecting and Identifying Suspicion

POCAMLA requires reporting institutions to monitor on an ongoing basis all complex, unusual, suspicious, large or such other transactions as may be specified in the law, whether completed or not, and shall pay attention to all unusual patterns of transactions, and to insignificant but periodic patterns of transactions which have no apparent economic or lawful purpose.

Determining whether a transaction or activity is suspicious is based on the knowledge of your client and their nature of business. A reporting institution and its employees, are better positioned to identify transactions which lack justification or do not fall within the usual methods of a legitimate business.

To identify unusual customer transactions, TCSPs should consider:

(a) The nature, type and purpose of individual transactions;
(b) The nature of a series of transactions;
(c) The amount of the transactions, paying special attention to particularly substantial transactions as well as transactions that do not make economic sense;
(d) The geographical origin/destination of a payment or receipt;
(e) The customer's usual pattern of activities or turnover;
(f) The Customer's residence status (whether a Kenyan national, a foreign resident, or an offshore/non-resident person or legal entity);

(g) Type and location of services provided (for example; the creation, liquidation, raising of capital, distribution of dividends, registration, deregistration, transfer or jurisdiction, purchase, sale, or other act involving legal persons or arrangements);

(h) Speed, frequency, and consistency of transactions (e.g. whether there is a requirement to expedite the transaction beyond what is considered usual, or a customer engages in multiple transactions or activities in a relatively short time span, especially when such transactions or activities appear to be inconsistent or in conflict with each other or with the customer's stated business purpose or socio-economic profile).

5.0 ML/TF Indicators for Trust and Company Service Providers

The following list of red-flag indicators of potentially suspicious transactions or activities is therefore by no means comprehensive. TCSPs are advised that the presence of one or more of the indicators listed below does not necessarily mean that a transaction involves elements of ML/TF/PF. However, it is an indication that enhanced due diligence or further investigation may be required, so that an appropriate determination can be made by the appointed MLRO as to whether the transaction or activity is suspicious or not.

The indicators are categorized according to the client (natural person or legal person or legal arrangement); requested product, service or transaction; the means of payment; the choice of TCSP among others.

5.1 The Client (natural person)

• Is reluctant or refuses to provide personal information, or the TCSP has reasonable doubt that the provided information is correct or sufficient.

• Is reluctant, unable, or refuses to explain:

– their business activities and corporate history;

– the identity of the beneficial owner;

– their source of wealth/funds;

– why they are conducting their activities in a certain manner;

– who they are transacting with;

– the nature of their business dealings with third parties (particularly third parties located in foreign jurisdictions).

• Is under investigation, has known connections with criminals, has a history of criminal indictments or convictions, or is the subject of adverse information (such as allegations of corruption or criminal activity) in reliable publicly available information sources.

- The client, beneficial owner, or associated party appears to match or closely resemble a name on the UN Security Council Sanctions Lists, including partial, similar, or alias-based matches that require further verification.

• Insists on the use of an intermediary (either professional or informal), without sufficient justification.

• Actively avoids personal contact without sufficient justification.

• Does not maintain contact or communication after initial establishment of a legal entity or arrangement, when this would normally be expected.

• Is a foreign national with no significant dealings in the country, and no clear economic or other rationale for seeking a relationship with a TCSP in the country.

• Refuses to co-operate or provide information, data, and documents usually required to facilitate a transaction, or is unfamiliar with the details of the requested transaction.

• Appears very concerned about, or asks an unusual number of detailed questions about compliance-related matters, such as customer due-diligence or transaction reporting requirements.

• Is a politically exposed person, or has familiar or professional associations with a person who is politically exposed.

• Is the signatory to company accounts (especially multiple companies) without sufficient explanation.

• Is interested in foreign company formation, particularly in jurisdictions known to offer low tax or secrecy incentives, without sufficient commercial explanation.

• Expresses interest in establishing or acquiring a legal entity or legal arrangement without a logical explanation or description of the purpose (especially when the type of entity or its activities does not appear to be related to the client's normal professional or personal activities).

• Requests services that improperly conceal beneficial ownership from competent authorities, or that have the effect of improperly concealing beneficial ownership without any clear legitimate purpose.

• Requests services that deliberately provide or depend upon more anonymity than is normal under the circumstances and experience of the TCSP.

• Requests the use of nominee agreements to hide the beneficial ownership of companies or legal arrangements.

• Has previously been prohibited from holding a directorship role in a company.

• Seeks to open multiple trusts with the same beneficiary.

• Seeks to open multiple trusts, each with a different business declared as the source of funds.

• Seeks to open trusts with high amounts, which are inconsistent with customer's profile.

• Takes an unusual interest in assisting or helping to facilitate the business arrangements of another party to the transaction.

• Requests the use of shelf companies, or pre-constituted shell companies, in jurisdictions that allow their use but do not require updating of ownership information.

5.2 The Legal Person or Legal Arrangement Client:

• Cannot demonstrate a history or provide evidence of real activity.

• Suddenly becomes active after a long period of dormancy, without a logical explanation (especially when the entity has otherwise been dormant since being established).

• Cannot be found on the internet or social business network platforms

• Is registered under a name that does not indicate the activity of the company, or that indicates activities different from those it claims to perform.

• Is registered under a name that appears to mimic the name of other companies, particularly high-profile multinational corporations.

• Is registered at an address that does not match the profile of the company, or that cannot be located on internet mapping services

• Is registered at an address that is also listed against numerous other companies or legal arrangements, indicating the use of a mailbox service.

• Has directors or controlling shareholder(s) who cannot be located or contacted, or who do not appear to have an active role in the company, or where there is no evidence that they have authorized the transaction.

• Has directors or controlling shareholder(s) and/or beneficial owner(s) who are also found to be representatives of other legal persons or arrangements, indicating the possible use of professional nominees.

• Has an unusually large number of beneficiaries and other controlling interests, or has authorized numerous signatories for the transaction without sufficient explanation or business justification.

• Uses informal representation arrangements (such as family or close associates acting as nominee shareholders or directors) without any apparent legal or legitimate tax, business, economic or other reason.

• Is incorporated or established in a jurisdiction that is considered to pose a high money laundering or terrorism financing risk.

• Is incorporated/established in a jurisdiction that does not require companies to report beneficial owners to a central registry.

• Has a complex corporate structure that does not appear to be necessary or that does not make commercial sense.

• Has management that appears to be acting according to instructions of unknown or inappropriate person(s).

• Has inexplicable changes in ownership, especially when the TCSP is not notified in a timely fashion.

5.3 The Natural person, Legal Person or Legal Arrangement Client:

(These indicators apply to either a natural person, legal person or legal arrangement.)

• Frequently, or without adequate explanation, changes legal structures or character (including name, ownership, beneficiaries) and/or managers, partners, directors or Officers.

• Asks for short-cuts, excessively quick transactions, or complicated structures even when it poses an unnecessary business risk or expense.

• Requests power-of-attorney for the administration or disposal of assets under conditions which are unusual, without a logical explanation.

• Makes deposits or other payments from multiple accounts or sources.

• Requests details of the TCSP's client or escrow account before the customer due diligence process or client agreement are completed, or before the details of a transaction are finalized.

• Uses the TCSP's client account or escrow account to receive funds without notification, or without sufficient justification.

• Requests the use of pooled client accounts or safe custody of client money or assets either unnecessarily or without a reasonable explanation.

• Appears to engage multiple professionals in the same country to facilitate the same (or closely related) aspects of a transaction without a clear reason for doing so.

• Provides falsified records or counterfeit documentation.

• Is related to, or a known associate of, a person listed as being involved or suspected of involvement with terrorists or terrorist financing operations.

• Is referred by a TCSP in a jurisdiction that does not require TCSPs to record, retain or submit to competent authorities' information on the beneficial ownership of corporate structures formed by them.

• Requests the use of legal persons or legal arrangements established in jurisdictions with weak or absent AML/CFT laws and/or poor record of supervision and monitoring of TCSPs.

• Requests the transfer of its registration or domicile to another jurisdiction without any genuine economic activity in the country of destination.

5.4 The requested product, service, or transaction:

• Involves the acquisition of a legal entity in bankruptcy, liquidation or receivership, without a logical legal, tax, business, economic or other legitimate reason.

• Includes contractual agreements with terms that are unusual or that do not make business sense for the parties involved.

• Involves the unexplained use of powers-of-attorney or other delegation processes (for example, the use of representative offices).

• Appears to be directed by someone (other than a formal legal representative) who is not a formal party to the transaction.

• Involves a person acting in the capacity of a director, signatory, or other authorized representative, who does not appear to have the required competency or suitability.

• Involves persons residing in tax havens or High-Risk Countries, when the characteristics of the transactions match any of those included in the list of indicators.

• Is carried out on behalf of minors, incapacitated persons or other categories of persons who appear to lack the mental or economic capacity to make such decisions.

• Is a legal arrangement (such as a trust or foundation) whose beneficiaries or class of beneficiaries have no apparent association with the settlor or founder.

• Involves persons who are being tried or have been sentenced for crimes or who are publicly known to be linked to criminal activities, or who are associated with such persons.

• Involves recently created legal persons or arrangements, when the amount is large compared to the assets of those legal entities.

• Involves foundations, cultural or leisure associations, or non-profit-making entities in general, when the characteristics of the transaction do not match the goals of the entity.

• Involves legal persons which, although incorporated in the country, are mainly owned by foreign nationals, who may or may not be resident for tax purposes.

• Involves contributions to the share capital of a company which has no registered address or permanent establishment in the country.

• Shows signs, or it is certain, that the parties are not acting on their own behalf and are trying to hide the identity of the real beneficial owner.

• Involves unexplained last-minute changes involving the identity of the parties (e.g. it is begun in one individual's name and completed in another's without a logical explanation for the name change) and/or the details of the transaction (such as the amount or terms) and/or the details of the financing or the payment instrument/procedures (e.g., a mortgage is arranged for a property purchase, but cash is substituted as the final payment method).

• Involves a price that appears excessively high or low in relation to the value (book or market) of the assets being transferred, without a logical explanation.

• Involves circumstances in which the parties:

– Do not show particular interest in the details of the transaction;

– Do not seem particularly interested in obtaining a better price for the transaction or in improving the payment terms;

– Insist on an unusually quick completion, without a reasonable explanation.

• Involves persons or entities dealing in goods or services governed by a highly technical or regulatory regime that imposes criminal sanctions for breaches (increasing the risk of a predicate offence being committed).

• Involves a legal entity whose characteristics (e.g. structure, number of employees, size of capital base or balance sheet, turnover, level of expenses, etc.) are unusual for its industry.

• Involves indications that the client does not have or does not wish to obtain necessary governmental approvals, filings, licenses, or other official requirements.

5.5 The Means of Payment:

• Involves cash or negotiable instruments which do not state the true payer (for example, bank drafts, cashier's cheques, or the endorsement of a third-party cheque), especially where the amount of such instruments is significant in relation to the total value of the transaction.

• Is divided in to smaller parts with a short interval between them.

• Involves doubts as to the validity of the documents submitted in connection with the transaction.

• Involves a loan granted, or an attempt to obtain a loan, using cash collateral, especially when this collateral is deposited abroad.

• Involves third-party funding (either for the transaction or for fees/taxes) with no apparent connection or legitimate explanation.

5.6 Choice of TCSP:

• Is unreasonable and without a clear explanation, given the size, location or specialization of the TCSP

• Has changed a number of times in a short space of time (i.e. the client has changed or engaged multiple TCSPs) without legitimate reason.

• Is due to the fact that the required service was refused by another TCSP or the relationship with another TCSP was terminated without an adequate explanation.

• Involves a business relationship exclusively related to keeping documents or other goods, holding large deposits of money or otherwise using the client account without the provision of legal services.

5.7 Other:

• The client is prepared to pay substantially higher fees than usual, without legitimate reason.

• The client's requested or preferred means of payment is unusual (e.g. precious metals or stones, virtual currencies, or other unconventional payment methods).

6.0 Filing a suspicious report

6.1 Internal process for reporting suspicion to the MLRO

Where a client, or a potential client attempts to conduct business or engage in a transaction that raises suspicion or where it seems that the activity or transaction, or attempted activity or transaction gives rise to a suspicion or raises initial concerns that money laundering, terrorism financing and proliferation financing is being attempted or is occurring, this suspicion must be reported to the MLRO by the staff.

A staff member of the firm, shall make an internal disclosure of their suspicion to the firm's MLRO in accordance with their internal reporting procedures.

The MLRO will obtain further information and make an assessment of the disclosure to determine whether the facts give rise to a suspicion of money laundering, terrorist financing or proliferation financing. Further, it may involve asking additional questions from staff or client, obtaining additional customer due diligence, and trying to understand the background and the events leading up to and surrounding the potential suspicious activity or transaction. The aim of the assessment is to look at the totality of the circumstances to determine whether the client or their transaction is merely unusual, or whether there are subjective grounds for a suspicion of money laundering, terrorism financing or proliferation financing that would require the filing of a suspicious report with the Centre. Where there are reasonable grounds for suspicion, the MLRO shall file a suspicious report with the Centre.

The MLRO is not responsible for proving that money laundering, terrorism financing or proliferation financing, is actually happening. Instead, their task is to review the internal report, gather any additional relevant information, understand the circumstances, analyse all available details, and decide whether there is enough evidence to form a belief or suspicion that such criminal activity may be taking place.

6.2 When to file a report

An MLRO shall file a suspicious report with the Centre within two days upon establishing reasonable grounds for suspicion in the specified manner. An MLRO **MUST NOT** inform their clients or any other person that a suspicious report has been filed with the Centre.

6.3 What is to be included in a suspicious report

A suspicious report shall entail the reason for suspicion and basis of suspicion. The reason for suspicion shall entail both the profile of your client and details of the transaction or activity.

Profiling of your client would include:

i. natural person (name, nationality, ID/Passport, DOB);
ii. legal person (name, registration number, date of registration, directors/shareholders, beneficial owners, nominee directors or partners).
iii. PEP relation
iv. occupation or nature of business of the suspicious person
v. date of establishment of a relationship with the law firm and services or accounts offered or held with your law firm
vi. location of person (high risk jurisdiction or area)
vii. nature in which the suspicious person is involved in the suspicious transaction or activity

Details of suspicious transaction or activity would include:

i. the date of service or transaction
ii. description of nature of transaction or service
iii. declared source of funds;
iv. transaction details;
v. declared purpose of funds
vi. country of origin or destination of funds

The basis of suspicion highlights why the identified transactions are suspicious with their corresponding ML/TF indicators. Indicators are informed by description of suspicion and the suspicious transaction or activity.

A suspicious transaction or activity report should be supported by the necessary documents depending on the transaction or activity such documents include:

i. Client on boarding forms (KYC)
ii. Record of transactions of the client
iii. Additional supporting documents:

- Bank slips, receipts
- Agreements and advisories – land, service, real estate
- Invoices – commercial and proforma
- CDD and EDD documentation

A suspicious transaction or activity is said to be of quality where it is reported within the timelines, contains unique identifiers for both natural and legal persons, identifies the suspicious transaction or activity and the probable offence.

7.0 Suspicious report submission process

Reporting institutions use the goAML system for reporting of suspicious reports. The goAML is a secure encrypted system that allows reporting institutions to:

- Register the reporting institution and relevant contact persons
- Submit suspicious reports
- Communicate and share information with the Centre
- Receive e-mail notifications concerning rejected reports and the reasons for rejection.

(https://goaml.frc.go.ke/goAML_Prod/Home)

8.0 Post-Reporting Obligations

Upon receipt of a suspicious report, the Centre reviews the submission and may request additional information where necessary. A reporting institution should ensure that it maintains and keeps records of all transaction, both domestic and international for a minimum period of seven years from the date the relevant business or transaction was completed or following the termination of an account or business relationship.

A reporting institution should ensure that it keeps all records obtained through customer due diligence measures such as copies or records of official documents like passports, identification cards or similar documents, account files and business correspondence including the results of any analysis undertaken such as inquiries to establish the background and purpose of complex, unusual, large transactions for a period of seven years.

A reporting institution shall ensure that all customer due diligence information and transaction records under the Act and these regulations shall, as and when required be made available swiftly to domestic competent authorities upon request.

A reporting institution has the discretion to decide to continue or terminate a customer relationship after filing a suspicious transaction or activity. Where the reporting institution chooses to continue with the relationship, it must put mechanisms to continually monitor customer transaction or activity, and report any additional suspicious transactions or activities.

9.0 Decision not to submit a suspicious report

Where the MLRO decides that the internal disclosure does not substantiate a suspicion of money laundering, terrorism financing and proliferation financing, the MLRO must document the reasons for their decision and keep records of this along with the original internal disclosure by the staff. This is a crucial step to take when deciding not to file a suspicious report with the Centre as this will help demonstrate compliance with AML/CFT obligations.

10.0 Protection of Information and Informers, Tipping-off and other offences

10.1 Protection of Information and Informers

Where any information relating to a suspicious report filed with the Centre, the information and the identity of the person giving the information shall be kept confidential.

10.2 Tipping off

Trust and Company Service Providers are prohibited by law from disclosing that a suspicious report or related information is being filed with the Centre.

Any Trust and Company Service Provider who knows or ought reasonably to have known that a report is being prepared or has been or is about to be sent to the Centre and discloses to another person such information or other matters relating to a report commits an offence.

10.3 Offences and Penalties

Offence	Penalty
Failure to report suspicion regarding proceeds of crime	a natural person, to imprisonment for a term not exceeding seven years, or a fine not exceeding two million, five hundred thousand shillings, or to both
	body corporate, to a fine not exceeding ten million shillings
Failure to comply with monitoring and reporting requirements (SEC 44)	in the case of a natural person, to imprisonment for a term not exceeding seven years, or a fine not exceeding two million, five hundred thousand shillings, or to both and
	in the case of a body corporate, to a fine not exceeding ten million shillings or the amount of the value of the property involved in the offence, whichever is the higher.

Tipping off	in the case of a natural person, to imprisonment for a term not exceeding seven years, or a fine not exceeding two million, five hundred thousand shillings, or to both and
	In the case of a body corporate, to a fine not exceeding ten million shillings or the amount of the value of the property involved in the offence, whichever is the higher.
Misrepresentation	in the case of a natural person, to imprisonment for a term not exceeding two years, or a fine not exceeding one million shillings, or to both and
	in the case of a body corporate, to a fine not exceeding five million shillings or the amount of the value of the property involved in the offence, whichever is the higher.
Malicious reporting	in the case of a natural person, to imprisonment for a term not exceeding two years, or a fine not exceeding one million shillings, or to both and
	in the case of a body corporate, to a fine not exceeding five million shillings or the amount of the value of the property involved in the offence, whichever is the higher.
Hindering a person in performance of functions under this Act	
Misuse of information	in the case of a natural person, to imprisonment for a term not exceeding seven years, or a fine not exceeding two million, five hundred thousand shillings, or to both and
	in the case of a body corporate, to a fine not exceeding ten million shillings or the amount of the value of the

	property involved in the offence, whichever is the higher.

10.4 Case studies

Case studies on how TCSPs are abused for money laundering among other offences.

Case study 1: Creation of shell companies for money laundering and tax evasion

In a period of six months, a company secretary was used to create ten companies belonging to foreign nationals of Country A who were not residents of Kenya. None of the companies had business dealings or a physical presence in Kenya. The companies were all registered under a name that appeared to mimic the names of other companies incorporated in Country A. The directors of the companies opened bank accounts in Kenya that were used to move large amounts of funds linked to money laundering and tax evasion, using internet-banking services.

In a period of one year, the accounts operated by the companies received funds totalling to USD 619,239,297.60 received from multiple foreign companies with a majority from Country B (not country A?). The purpose of funds was given as payment for invoices for different services and goods, payment of intellectual property and payment for financial services. The funds were subsequently wired to multiple foreign companies. Analysis established that the ten companies were providing financial services like currency exchange, invoicing factoring and discounting and investment in virtual currency to companies based in County A. The Kenyan bank accounts were using to assist companies based in County A to evade foreign currency trade restrictions imposed in the country.

Indicators:

- The client actively avoids personal contact without sufficient justification.
- The client is a foreign national with no significant dealings in the country, and no clear economic or other rationale for seeking a relationship with a TCSP in the country.
- The entity cannot be found on the internet or social business network platforms
- The entity is registered under a name that appears to mimic the name of other companies.

- The entity cannot demonstrate a history or provide evidence of real activity.

Case study 2: Use of corporate vehicles to conceal beneficial ownership and launder the proceeds of official corruption[2]

James Ibori, who served as governor of Nigeria's Delta State between 1997 and 2007, manipulated public contracts, took kickbacks, and directly siphoned off government funds. Although his official annual salary was only GBP 4,000 and his asset declaration stated that he held no cash or foreign bank accounts, he accumulated numerous luxury properties and assets abroad. Among these was a UK home worth roughly GBP 2.2 million, which he purchased covertly through *Haleway Properties Ltd.*, a Gibraltar-registered company previously set up by his wife, Theresa, using a UK-based trust and company service provider. James and Theresa Ibori were the true beneficiaries of this company.

Ibori also relied on his mistress to move money out of Nigeria and invest it on his behalf, enabling further property acquisitions in the UK. By late 2003, she had placed over GBP 3 million into a Guernsey trust intended for the Ibori family. The trust managers expected the funds to originate from UK banks, in line with the stated purpose of the trust, but instead received transfers from an unfamiliar Nigerian entity, *Sagicon*. When questioned, Ibori's mistress supplied fabricated incorporation papers and financial statements—certified by a corrupt Nigerian solicitor—falsely showing Ibori as a major Sagicon shareholder. These forged documents satisfied the Guernsey authorities.

Ibori and his network also funnelled money through several UK bank accounts. In 2005, he enlisted the help of a corrupt London solicitor, Bhadresh Gohil, to launder funds. Money was first moved from Nigeria into a UK corporate account that belonged to Ibori, though it was technically managed by his former special assistant. The assistant then shifted about USD 4.7 million into the account of a Swiss company, *Stanhope Investments*, also controlled by Ibori. From there, the money was transferred again to another Swiss corporate account linked to a different client of Gohil. The solicitor eventually routed the USD 4.7 million back into one of his client accounts in

[2] Adapted from Specific Risk Factors in the Laundering of Proceeds of Corruption, Financial Action Task Force/OECD, June 2012, p. 14.

London, and later into a Texas bank account, where it was used as the down payment for a private jet for Ibori.

Ultimately, Ibori pleaded guilty in 2012 to ten charges of money laundering and fraud tied to approximately USD 250 million in stolen public funds. He received a 13-year prison sentence, and his wife was likewise convicted of money laundering.

Indicators

- The client is a politically exposed person.
- The client is a foreign national with no significant dealings in the country, and no clear economic or other rationale for seeking a relationship with a TCSP in the country.
- Client is interested in foreign company formation, particularly in jurisdictions known to offer low-tax or secrecy incentives, without sufficient commercial explanation.
- Client requests the use of legal persons, legal arrangements, or foreign private foundations that operate in jurisdictions with secrecy laws.
- Client conducts an unusual number or frequency of transactions in a relatively short time period.
- Client provides falsified records or counterfeit documentation.
- Appears to involve parties with a questionable connection, or generates doubts that cannot be sufficiently explained by the customer.
- Involves complicated transaction routings or multi-jurisdictional corporate structures without sufficient explanation or trade records.
- Involves frequent or high-value transactions between a small number of related natural or legal persons.

Case study 3: Exploitation of a TCSP to conceal the illicit source of funds and proceeds of crime[3]

Two individuals, A and B, visited a country in Europe where they used a company formation agent to establish a registered company to receive profits from their ownership of 300 fairgrounds sites around the world. The TCSP, who also provided company and account management services, was

[3] Concealment of Beneficial Ownership p. 72

suspicious of the underlying story and made a disclosure to the national FIU. Huge sums of money were received into the account in a brief period of time, and A and B instructed the TCSP to invest a large sum in a Unit trust on their behalf. The account continued to receive large USD transfers over the course of 2 years and a large amount was transferred into the account of a Mrs. X., who had earlier that year visited the same TCSP with an introduction from A and B.

Mrs. X explained that she would be receiving this money for a large amount of soya beans that she would supply to A and B's fairgrounds, and that she needed the TCSP's help to set up an account to receive the funds. The TCSP assisted her and then made a further disclosure to the FIU, detailing the full transaction. When the large transfer to Mrs. X's account was made, a further disclosure to the FIU was again submitted by the TCSP.

The FIU's enquiries to their home country revealed that A and B were convicted drug traffickers and that Mrs. X was the wife of another convicted drug trafficker. Mrs. X later requested the TCSP to transfer a huge sum to her personal account in her home country. When notified of this development by the TCSP, law enforcement agents in both countries agreed that the transaction should be executed in order to gain further intelligence. However, when the money arrived in her account, the Customs agency in Mrs. X's country froze the funds, which were ultimately confiscated after a judicial determination was made that they were drug proceeds. The TCSP also notified law enforcement authorities of Mrs. X's efforts to liquidate her remaining funds held by the TCSP, which was prevented from taking place.

Indicators

- The client is a foreign national with no significant dealings in the country, and no clear economic or other rationale for seeking a relationship with a TCSP in the country.
- The client has known connections with criminals, and has a history of criminal indictments or convictions.
- Seeks to open trust accounts with high amounts, which are inconsistent with customer's profile.
- Conducts an unusual number or frequency of transactions in a relatively short time period.
- Requires introduction to financial institutions to help secure banking facilities.


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